Rajratan Global Wire Ltd

Concall Tracker · Q2 FY2027 (quarter ended 30 September 2026) · NSE: RAJRATAN · Report prepared 6 Nov 2026

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1. Snapshot

Rajratan makes bead wire, the copper-coated steel wire hoop moulded into the inner rim of every tyre that clamps the tyre onto the wheel. It's one product made in three plants (Pithampur near Indore, Chennai, and Thailand) and sold to tyre makers in India, Southeast Asia, Europe and the US. It's the only bead wire maker in Thailand and says it holds 42–43% of the Indian market. A small steel-cord line for conveyor belts is in trials and earns nothing yet.

A note on numbers: the quarterly and yearly series below is the India (standalone) business as filed on Screener. Thailand sits only in the consolidated figures that management quoted on the call. Our last report compared the two as if they were the same thing; see section 2d.

Number	Value	What it means in plain words
Revenue, Sep-2026 quarter (India)	₹222 cr, +17% YoY	A new quarterly record, well above June's ₹194 cr. Demand isn't the problem.
Operating profit, Sep-2026 quarter (India)	₹29 cr, +12% YoY	Profit grew slower than sales again. Margin 13%, down from 14% a year ago.
Net profit, Sep-2026 quarter (India)	₹17 cr, +42% YoY	The best profit line in years, helped by ₹3 cr of other income and flat interest and depreciation.
Consolidated EBITDA (operating profit), Q2 FY27	₹45.8 cr, +14% YoY, +10% QoQ	Group operating profit including Thailand, per the call. It grew a bit slower than group volume (+17%), so profit per tonne slipped about 3%.
Volume, H1 FY27	~71,000 tonnes	Up about 17%. India up 14%, Thailand up 22%. Full-year target is ~160,000 t against 133,000 t in FY26.
Borrowings, Sep 2026	₹314 cr (₹276 cr in Mar 2026)	Up another ₹38 cr in six months, mostly to fund longer export credit. Debt-to-equity is 0.6, which is manageable but rising.
Market cap / P/E	₹2,154 cr / 41x	The price already assumes margins recover. Return on capital is only 13%.

2. Concall coverage

Quarter	Call date	How it was read
Q4 FY22 to Q2 FY26 (8 calls, April and October only)	Apr 2022 to Oct 2025	Carried forward from the Q1-2027 report
Q4 FY26 (full-year FY26), the prior boundary	22 Apr 2026	Read in full for the Q1-2027 report
Q1 FY27	No call held	Only an investor deck (24 Jul 2026); covered in the last report
Q2 FY27 (Jul to Sep 2026)	22 Oct 2026	Newly deep-read in full ★

Only the Q2 FY27 call was read in full this time. The backstory from the earlier calls comes from the Q1-2027 report. Rajratan holds calls only twice a year (after the half-year and the full year), so this is the first time management has been questioned since April.

Latest concall highlights · Q2 FY27 (call on 22 Oct 2026)

- **Record quarter on volume and sales, not on margin.** Group volume was roughly 37,700 t, up from 33,300 t in June. Group EBITDA rose 14% on the year, slower than volume. The Chairman says that's because gas, power, diesel, packing and sea freight all got dearer "since this war has started", and calls holding EBITDA per tonne flat "commendable".
- **New 50,000 t Thailand expansion.** Thailand is running at about 100% and turning customers away. A brownfield expansion costing ~₹100 cr more (₹125 cr in all, including ~₹20 cr already spent buying a closed factory across the road) should be running in about a year, which means H2 FY28. Management says it'll fill in two years. Funding is internal cash plus bank loans at under 4%.
- **Chennai ahead of plan.** Rated capacity is now 40,000 t and rising machine by machine, from 3,500 t a month towards 4,500 t. Chennai should make 37,000–38,000 t this year, above the 34,000–35,000 t guided in April. Another 60,000 t there in about two years is being talked about, but isn't approved yet.
- **Margin floor, not margin growth.** "Our current margins are rock bottom." Management sees ~13% as the minimum, says India margins won't improve in the next two quarters, and expects the improvement to come from Thailand. Steel price rises will be passed on from December.
- **Steel cord slips again.** Still in trials, using bought-in semi-finished wire. Samples go to customers next month, and it still needs ISO and BIS certification. No revenue is counted for H2. "Running at good capacity utilisation" is now promised for next year. About ₹70–80 cr sits in unfinished capital work.

2c. Business mix & capacity

Where the tonnes go: FY27 export target is "more than 30,000 tonnes" across both countries, about a fifth of the ~160,000 t target. India exports should be 14,000–15,000 t (up ~40%). Thailand exported 8,500 t in H1 (5,200 t in Q2). Exports go mainly to Europe and the US. Southeast Asia is tough because of Chinese competition. Group revenue split in rupees by geography wasn't given on the call.
Customer mix: In India, premium tyre makers already buy 50–60% of their bead wire from Rajratan. In Thailand, premium customers are only 30–32% of sales, targeted to reach ~40% next year. They pay up to ₹25,000–26,000 a tonne more than the cheapest Chinese-owned buyers.
Utilisation: Thailand ~100% (15,260 t sold in Q2 on 15,000 t quarterly capacity) · Chennai full on its first 30,000 t, now 40,000 t rated and heading to 60,000 t · Pithampur near full. Once Chennai is done, India capacity is 132,000 t plus 10,000 t of steel cord. Management says the practical ceiling is about 90% of rated capacity.
Not disclosed: consolidated revenue and margin for the quarter, separate EBITDA per tonne for India and Thailand (management "never compares" them), and Chennai's profit.

2d. Since our last report

Builds on the Q1-2027 report, which had no call to work from (boundary: 22 Apr 2026 call, plus the Jul 2026 deck). Prior verdicts: **trigger MAYBE**, **consistency MAYBE**.

Prior read	What we said then	What the new call shows	Movement
Trigger: MAYBE	Chennai is a real, funded swing, but volume never turns into faster profit growth. Flips to YES when operating profit grows clearly faster than tonnage.	Group EBITDA +14% on volume +17%. Profit per tonne down ~3%. The test still isn't passed, and India margins are guided flat for two more quarters.	Unchanged
Consistency: MAYBE	Steady strategy, unreliable numbers.	The strategy is the same as ever ("compete head-on"). The Chennai number beat the guide, but the steel cord slipped again and the Chairman claims he's been "consistent" on 15–20% volume growth when the four-year record is 10%.	Unchanged
Deck vs filed numbers gap	Q1 deck figures ran ~1.6x the filed series and the growth rates didn't match. We treated the deck as flattering.	The call settles most of this. The deck is consolidated (Q1 EBITDA ₹41.7 cr, with Thailand) and the Screener series is India only. Our comparison mixed the two. The per-tonne "inconsistency" we flagged goes away too: India revenue divided by India tonnes gives about ₹88,000 a tonne, which matches what management quotes.	Mostly resolved (our error)
Chennai ramp to 34–35,000 t in FY27	Capacity doubling by Q2 FY27 for ~₹25 cr.	Now 37–38,000 t for FY27. Capacity rising in steps rather than all at once. Phase 2 cost is restated as ₹30–35 cr, and the original plant as ₹270 cr (₹230–240 cr before).	Improving (cost creeping)
Margin back to 13–13.5%	Promised in April for Q1.	India margin 14% in Q1, 13% in Q2. Delivered, but it's a floor and nothing more.	Confirmed
Steel cord trials in Q2 FY27	₹70 cr capex, ₹150 cr peak revenue by FY29.	Trials are running, but samples only go out next month and certification is still pending. Some equipment isn't bought yet. Capital work is ₹70–80 cr and still not capitalised.	Slipping
Thailand "no room to expand"	Site full at ~90%. New land mentioned in the deck with no detail.	Now a firm 50,000 t brownfield plan with a cost, a timeline and a funding source. The adjacent factory was the missing piece.	New driver

Verdict change this quarter: both unchanged. The Thailand plan and the Chennai beat add real volume, but the thing that would move the trigger to YES (profit growing faster than tonnes) hasn't shown up, and management itself guides against it for India.

3. Earning-trigger thesis

Is there a real earnings trigger here?

There's a volume trigger and it's getting bigger. Chennai beats its tonnage plan, Thailand gets another 50,000 t from H2 FY28, and exports from both countries are growing quickly because European and US tyre makers want a non-Chinese supplier, with Thailand's scrap-based "green" wire opening European doors faster. Management's target is ~160,000 t this year and 15–20% volume growth for another 10–15 quarters. What's missing is the earnings part. Every extra tonne still arrives at the same or slightly lower profit per tonne, because Rajratan chooses market share over price and its costs keep rising. The one real margin lever is in Thailand: moving from ~30% premium customers to ~40%, where each tonne fetches up to ₹25,000 more. If that shows up as better group profit per tonne in the next two quarters, the trigger turns real.

Trigger	What management said	Evidence so far	Time horizon	Strength	Change since last report
Chennai ramp to 60,000 t	37–38,000 t in FY27, rated 40,000 t now and rising monthly. Margins "much better in Chennai", and it's far from the competition.	Full on the first 30,000 t. Ahead of the April guide.	FY27–FY29	Strong. Capital is spent, the plant is profitable, and volume is beating plan.	↑ better tonnage guide
Thailand 50,000 t brownfield	~₹100 cr more, live in about a year, full in two. Approvals at "world leaders in tyres" for Europe, the US and Southeast Asia.	Thailand volume +22% in H1, running at ~100%, turning away low-price buyers.	H2 FY28–FY30	Moderate. Demand looks real, but it's two to three years away from mattering.	New
Thailand premium mix	Premium share 30–32% going to ~40% next year. Thailand EBITDA to improve in the coming quarter.	Not yet visible in the group numbers.	H2 FY27–FY28	Moderate. It's the only stated margin lever, and the claim is checkable next quarter.	↑ now quantified
Exports (India + Thailand)	Over 30,000 t in FY27. India up ~40% to 14–15,000 t. Europe subsidiary coming. "Only the beginning."	Thailand exports 8,500 t in H1. India did ~9,000 t in FY26.	FY27–FY28	Moderate. Volumes are real, but exports carry 70–90 days of credit and that's what's pushing debt up.	Unchanged
Steel cord (10,000 t)	Samples next month, ISO/BIS needed, good utilisation next year. No revenue counted.	Zero revenue. ₹70–80 cr of capital work still not capitalised.	FY28–FY29	Unproven.	↓ slipped again

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Oct 2022	20% volume growth a year for 3–5 years	90,000 t (FY22) to 133,000 t (FY26), about 10% a year	Missed
Apr 2023	Go "full blast" for market share wherever there's contribution	Followed to the letter. Margin fell from 19% to 13% as the price of that choice	Delivered
Oct 2024	FY25: 20% volume growth, 15–16% margin	~8% volume, 16% margin	Missed volume, delivered margin
Apr 2025	FY26: 15%+ volume, Chennai 20,000 t, slightly better margin	Volume +18%, Chennai 17,000 t, margin down 3 points	Partly
Apr 2025 → Apr 2026	Wire rope, later renamed steel cord, trials in Q2 FY27	Trials running, samples only next month, certification pending, full scale pushed to FY28	Slipping
Apr 2026	Margin back to 13–13.5% in Q1	India 14% in Q1, 13% in Q2	Delivered
Apr 2026	Chennai 34–35,000 t in FY27, capacity 60,000 t by Q2 FY27 for ~₹25 cr	Now guided at 37–38,000 t. Capacity 40,000 t and stepping up. Cost restated to ₹30–35 cr	On track / ahead
Oct 2026	~160,000 t in FY27, Thailand 50,000 t live in a year, India exports +40%	H1 at ~71,000 t, so H2 needs ~89,000 t	Too early

Narrative drift. The core story hasn't moved an inch, and that's still to management's credit. "We don't want to leave the space for competition to grow" is the April 2023 strategy in new words, and the Chairman doesn't dress up the cost of it. He told analysts plainly that India margins won't improve for two quarters. Two things grate, though. He opened by saying "earnings are growing faster than revenue". That's true for net profit, thanks to other income, but not for operating profit, which is the number that matters. He also said he's "been consistent" on 15–20% volume

growth, when the record since 2022 is closer to 10%. The steel-cord project keeps slipping a quarter at a time. The one clear positive is that Chennai, the project with the worst history, is now beating its own guide.

5. Bottom line

Durable earning trigger? → MAYBE vs last quarter: unchanged

Nothing on this call moved the verdict, though the volume side got stronger. Chennai is beating its plan and Thailand now has a funded 50,000 t expansion with customers lined up, so tonnes should grow 15–20% a year for a while yet. But the test we set last time was profit growing faster than tonnes, and Q2 failed it again: group EBITDA +14% on volume +17%, with India's margin down to 13%. Management calls 13% "rock bottom" and says India won't improve before FY28. The only margin lever is Thailand's shift to premium customers, which is quantified for the first time (30% to 40%) and checkable in Q3. If Thailand's profit lifts the group's profit per tonne in Q3 and Q4, this becomes YES. If the year closes at 160,000 t and margin is still 13%, the growth is being bought, and borrowing (up to ₹314 cr) is paying for it.

Management consistent? → MAYBE vs last quarter: unchanged

Still steady on strategy and loose with numbers. This quarter the numbers that matter most came in on or ahead of plan: Chennai is beating its tonnage guide, the margin hit the promised 13–13.5% floor, and the Thailand expansion now has a cost and a date. That's better than the history. Against it, the steel cord slipped again, Chennai's cost was quietly restated upward, and the Chairman's "we've been consistent" line on growth doesn't match his own record. Our last report's worst charge, that the deck flattered the numbers, mostly turns out to be our mix-up of consolidated and India-only figures, so we've dropped it. Net, it's a slightly better quarter for credibility, but not enough to call it YES while the steel cord and the margin story keep running late.